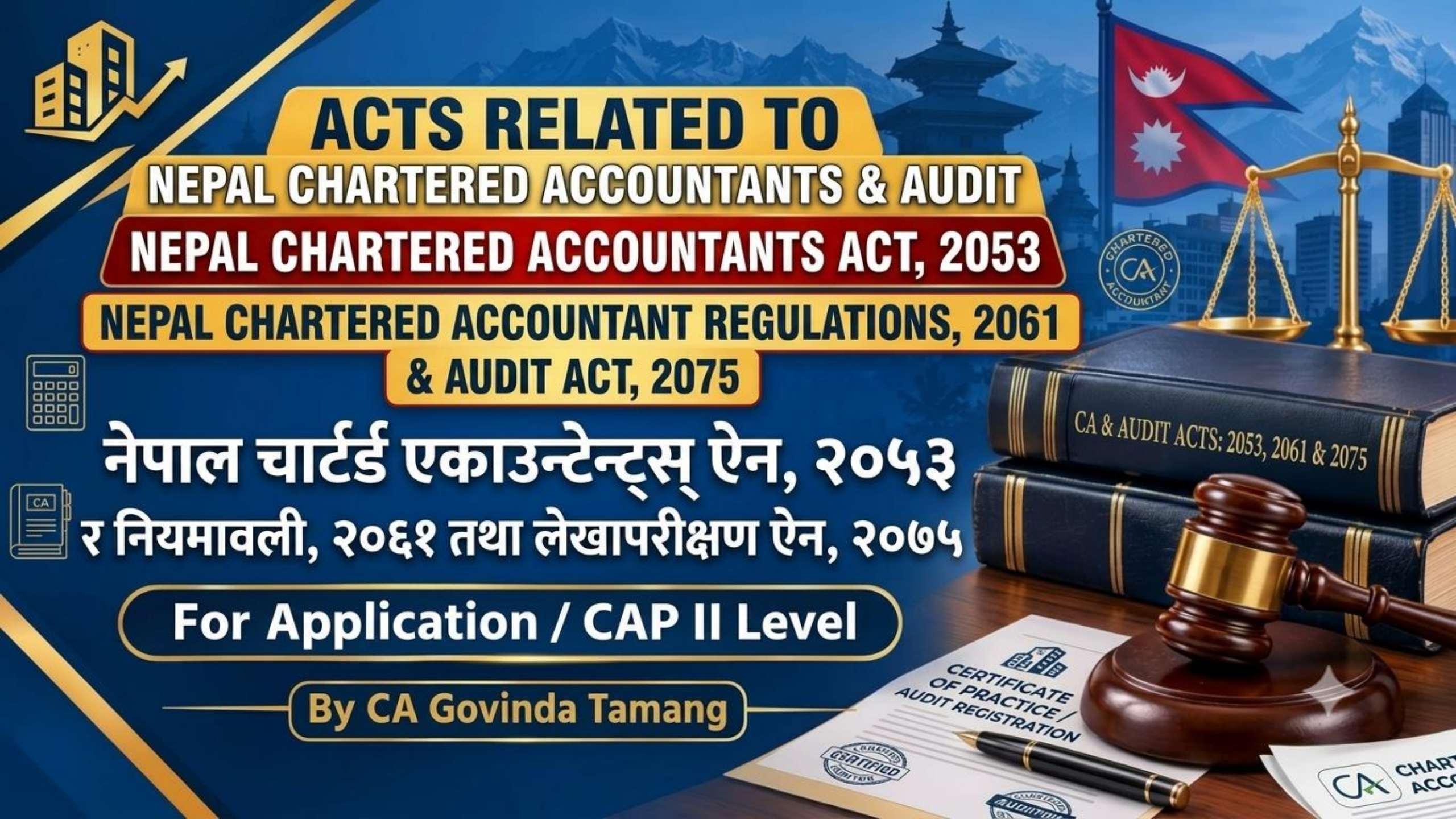
ACTS RELATED TO
NEPAL CHARTERED ACCOUNTANTS & AUDIT
NEPAL CHARTERED ACCOUNTANTS ACT, 2053
NEPAL CHARTERED ACCOUNTANT REGULATIONS, 2061
& AUDIT ACT, 2075

नेपाल चार्टर्ड एकाउन्टेन्ट्स् ऐन, २०५३
र नियमावली, २०६१ तथा लेखापरीक्षण ऐन, २०७५

For Application / CAP II Level

By CA Govinda Tamang



Syllabus Weightage

Applied Law



	Syllabus Area	Weighting (%)
1	**Nepal Chartered Accountants Act, 2053,** rules and Government Audit	10%
2	**Industry Related Acts:** Companies Act, 2063, Industrial Enterprises Act, 2076 and Foreign Investment and Technology Transfer in Nepal	30%
3	**Finance Related Acts:** Banks and Financial Institutions Act, 2073, Nepal Rastra Bank, 2058, Insurance Act, 2079 and Securities Act, 2063 and rules	30%
4	**Labour Act, 2074 and Other Acts Related to Employment**	10%
5	**The National Civil (Code), 2074 (Part V)**	10%
6	**Acts related to Social Organizations**	5%
7	**Understanding public procurement in Brief**	5%

Total Weightage — **100%**

Nepal Chartered Accountants Act, 2053
and relevant provisions of
Nepal Chartered Accountants Regulation, 2061

LO1 – Key Provisions & Important Areas



1 Objectives & Definitions (Section 2)

- Understand the objectives of the Act.
- Define the related terms included in the syllabus (e.g. ICAN, Council, Chartered Accountant, Member, Certificate of Practice, Audit, etc.).

2 Council, Committees & Governance (Sections 7 – 15)

- Formation, functions, duties & powers of the Council.
- Circumstances to cease to hold office, vacancy and fulfilment.
- Meeting of the Council.
- Formation, functions, duties & powers of committees of the Council.

3 Accounting and Auditing Standards Board (Sections 15a – 15f)

- Formation and composition.
- Functions, duties and powers.
- Standards to be issued and maintained.

4 Recognition, CoP and Discipline (Sections 26 – 41)

- Recognition of educational qualification (Sections 26 – 27).
- Certificate of Practice (CoP) (Sections 28 – 33).
- Conducts to be observed and complaints to be made.
- Funds, accounts, audit, Executive Director and other employees of ICAN.
- Punishment to be imposed by ICAN.

5 General Provisions (Sections 43 – 49)

- Saving of act done in good faith.
- Delegation of power.
- Power to give direction.
- Liaison with Government of Nepal.
- Power to frame rules and by-laws.
- Repeal and saving.

6 Nepal Chartered Accountants Regulation, 2061 (Relevant Provisions)



- Appointment, qualification and disqualification of members.
- Professional conduct and ethics.
- Continuing professional development.
- Other relevant provisions as per syllabus.

7 Auditor General & Link with Audit Act, 2075 (Article 240 of Constitution & Sections 3, 10 and 11)

Appointment, Qualifications & Disqualifications (Constitution Art. 240)

- Appointed by the President on recommendation of the PSC.
- Qualified person.
- Disqualifications as per Constitution.

Bodies to be Audited (Audit Act, 2075)

- Government bodies (Section 3).
- Government owned organizations and enterprises (Section 10).
- Other bodies as specified (Section 11).

Relationship with Nepal Chartered Accountants Act, 2053

- Auditor General is a key stakeholder.
- Works with ICAN and chartered accountants in public sector audit.

Relationship with Other Acts

Nepal Chartered Accountants Act, 2053
(Regulates the profession of Chartered Accountants)

- Establishes ICAN and the Council.
- Governs CA qualification, practice and discipline.

Linked through
Audit, public sector assurance and professional standards

Audit Act, 2075
(Regulates audit of government and public bodies)

- Defines audit and types of audit.
- Sets up the Auditor General.
- Specifies bodies to be audited.

Introduction to Nepal Chartered Accountants Act, 2053 & Chartered Accountants Regulations, 2061



The Foundation of Nepal's Professional Accounting & Auditing Framework

BACKGROUND

The **Nepal Chartered Accountants Act, 2053** was enacted to:

- Regulate the accounting and auditing profession in Nepal
- Establish the Institute of Chartered Accountants of Nepal (ICAN)
- Maintain professional standards, ethics, and discipline

The **Chartered Accountants Regulations, 2061** provide:

- Detailed operational procedures
- Membership and licensing requirements
- Examination and training provisions
- Code of conduct and disciplinary framework

OBJECTIVES OF THE ACT

- Regulate the accounting profession in Nepal
- Ensure professional competence and ethical conduct
- Conduct CA education, examinations, and practical training
- Maintain quality in audit and assurance services
- Protect public interest and strengthen financial reporting

KEY AREAS COVERED

- Constitution and powers of ICAN
- Registration and membership provisions
- CA examinations and practical training
- Certificate of Practice (COP)
- Professional misconduct and disciplinary actions
- Standards on accounting, auditing, and ethics
- Regulations relating to firms and practitioners

REGULATORY FRAMEWORK

Nepal Chartered Accountants Act, 2053
Main governing legislation

Chartered Accountants Regulations, 2061
Detailed implementation procedures

ICAN Directives & Guidelines
Operational and professional guidance

IMPORTANCE



The Act and Regulations form the foundation of Nepal's professional accounting and auditing framework and align the profession with international standards and best practices.

INTEGRITY
Upholding ethical standards

COMPETENCE
Ensuring professional excellence

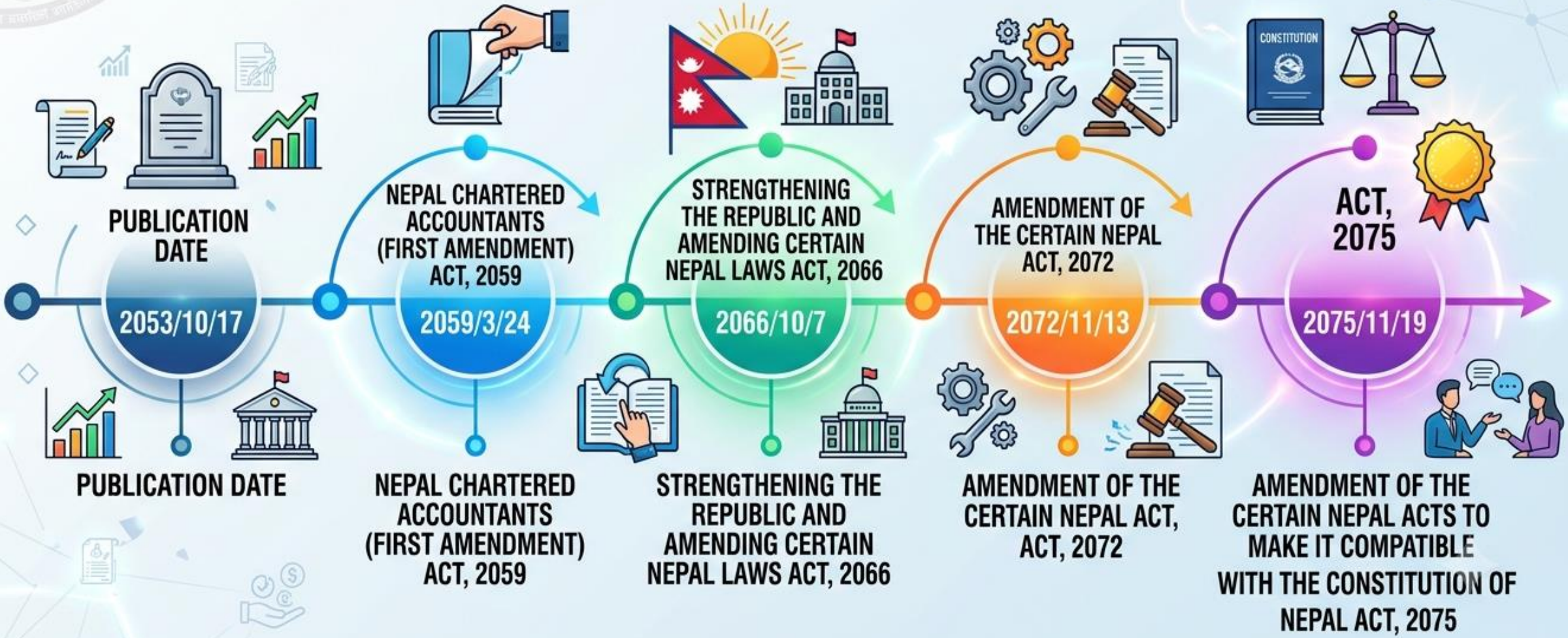
ACCOUNTABILITY
Serving the public interest

TRANSPARENCY
Enhancing trust and quality

PROFESSIONALISM
Committed to continuous improvement

NEPAL CHARTERED ACCOUNTANTS ACT, 2053 - HISTORICAL TIMELINE

(ACT NO. 22 OF THE YEAR 2053)



Define the related terms of the Act included in the syllabus (Section 2)

LO	Syllabus content	Technical grid reference
LO 1a	❖ Define to understand various words that are used in Nepal Chartered Accountants Act, 2053	Section 2 of the Nepal Chartered Accountants Act, 2053

Nepal Chartered Accountants Act, 2053

Section 2 : Definition

In this Act, unless the subject or context otherwise refers,

(a) "Institute"

Means the Institute of Chartered Accountants of Nepal established pursuant to Section 3.

(b) "Council"

Means the Council constituted pursuant to Section 7.

(c) "President"

Means the President of the Council.

(d) "Vice-President"

Means the Vice-President of the Council.

(e) "Council Member"

Means Member of the Council, and these words also refer to the President and the Vice-President of the Council.

(f) "Executive Director"

Means the Executive Director appointed pursuant to Section 38.

(g) "Member"

Means a person who has obtained membership pursuant to Section 16.

(h) "Chartered Accountant"

Means a person who has obtained membership pursuant to [1]Section 16 subsection (2).

(h1) "Fellow Chartered Accountant (F.C.A.)"

Means a member having obtained the membership of the Institute pursuant to Section 17.

(i) "Registered Auditor"

Means a person who has obtained membership pursuant to Section 16 subsection (3).

(j) "Certificate of Practice (COP)"

Means the certificate issued, pursuant to Section 28, to render the accounting profession.

(j1) "Audit"

Means the audit service rendered, under the provisions of the existing legislation, by members holding a Certificate of Practice.

(j2) "Foreign Accounting Body"

Means a national-level Chartered Accountant Institute or equivalent accounting body having full legal authority to regulate the public accounting profession in any foreign country.

(j3) "Accounting Standards Board"

Means the Accounting Standards Board constituted under Section 15a.

(j4) "Standards on Auditing Board"

Means the Standards on Auditing Board constituted under Section 15d.

(j5) "Accounting Standards"

Means the accounting standards, including directives and explanations, prepared or recommended by the Accounting Standards Board in order to govern and regulate the accounting profession and the financial reporting system.

(j6) "Standards on Auditing"

Means the standards on auditing, including directives and explanations prepared or recommended by the Standards on Auditing Board, in order to govern and regulate the accounting profession and auditing.

(k) "Prescribed" or "As prescribed"

Means prescribed or as prescribed in the Regulations or Byelaws framed under this Act.

[1] Amended by the First Amendment.

[2] Added by the First Amendment.

NEPAL CHARTERED ACCOUNTANTS ACT - KEY SECTIONS

SECTION 3: ESTABLISHMENT OF THE INSTITUTE



Establishment
Nepal Chartered Accountants Sanstha is established to develop the accounting profession.

English Name
Institute of Chartered Accountants of Nepal (ICAN).



Headquarters
Kathmandu Valley.

Branches
May establish offices, training training training, centres, branches and sub-branches anywhere in Nepal as necessary.



SECTION 4: THE INSTITUTE TO BE AN AUTONOMOUS BODY



- **Autonomous Corporate Body**
  Has perpetual succession.
- **Separate Seal**
  Maintains its own seal for official business.





Property Rights
May acquire, own, dispose of and otherwise deal with movable and immovable property.





Legal Capacity
May sue and be sued in its own name.



SECTION 5: OBJECTIVES OF THE INSTITUTE





Regulation
Ensure members practise accounting within the prescribed code of conduct and promote professional development for national economic growth.



Public Awareness
Enhance public recognition and trust in the accounting profession and professional accountants' economic and soclal responsibilities.



Professional Development
Develop, protect and promote the accounting profession and strengthen accountants' understanding of their responsibilities.



International Standards
Establish registration, evaluation and examination mechanisms consistent with international norms and practices to ensure professional credibility.

SECTION 6: PROHIBITION ON UNAUTHORIZED USE OF THE INSTITUTE'S NAME, EMBLEM AND AUTHORITY



After establishment under the Act, no person shall:



Use a name or logo resembling that of the Institute.

- Issue certificates granted by the Institute.





Issue directives on behalf of the Institute.

- Exercise powers or authority legally vested in the Institute.



Describe the formation, functions, duties and powers, circumstances to cease to hold office, vacancy and fulfilment and meeting of Council along with formation and functions, duties and powers of committees of council (Section 7 – 15)

LO	Syllabus content	Technical grid reference
LO 1b	❖ Constitution of the Council ❖ Circumstance where councillor ceases to hold office ❖ Vacancy and fulfilment of councillors ❖ Meeting and decision of Council ❖ Act and action not to be invalid ❖ Committees of Council ❖ Permanent Committees ❖ Examination committee ❖ Disciplinary committee ❖ Executive committee ❖ Professional guidance committee ❖ Other Committees	Section 7 to 15 of the Nepal Chartered Accountants Act, 2053

CONSTITUTION OF THE COUNCIL & MEMBER VACANCIES

SECTION 7: CONSTITUTION OF THE COUNCIL

Formation
Council constituted to achieve the Institute's objectives and manage, supervise and coordinate its activities.

Powers and Duties
Exercises the Institute's powers and performs its duties subject to the Act, Regulations and Bylaws.

Composition – 17 Members

17

10 elected by and from Chartered Accountant (CA) members.

4 elected by and from Registered Auditors.

3 nominated by Government of Nepal on the recommendation of the Auditor General, from persons experienced in accounting.

President and Vice-President: Elected by the Council from among Fellow Chartered Accountant (FCA) Council members elected under Section 7(3)(a).

Tenure of President and Vice-President: 1 year; eligible for re-election for one additional term.

Tenure of Council Members: 3 years; eligible for re-election or re-nomination.

Election Procedure: As prescribed.

Functions, Duties and Powers of President and Vice-President: As prescribed.

SECTION 8: CIRCUMSTANCES WHEREIN A COUNCIL MEMBER'S SEAT REMAINS VACANT

Membership Cessation
Ceases to be a member of the Institute; this does not apply to nominated Council members.

Resignation
Resignation is accepted by the Council.

Absence
Remains absent from 3 consecutive Council meetings without notice stating reasons.

Expiry of Tenure
Term of office expires.

Code of Conduct Violation
Non-compliance with the code of conduct under Section 34 is proved.

Death
Council member dies.

Resignation Procedure

President submits resignation to the Vice-President.

Other Council members submit resignation to the President.

Section 9: Vacancy and Fulfilment & Section 10: Meetings and Decisions of the Council

Section 9: Vacancy and Fulfilment

Vacancy in Elected Seats (CA/Registered Auditors):

Remaining term less than 1 year:



Council designates a member to fill the vacancy.



Remaining term more than 1 year:



Vacancy filled through election.

Vacancy in Nominated Seats:

If a nominated member dies or resigns, the vacancy is filled for the remaining term following the procedure under Section 7.



Section 10: Meetings and Decisions of the Council

Meeting Convening:
Executive Director convenes meetings on the date, time and place fixed by the President.



Frequency:
Normally 6 meetings per year; interval between meetings must not exceed 3 months.



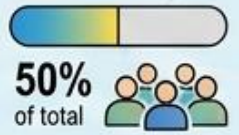
Chairperson:
President; in their absence, Vice-President; if both are absent, a Council Member chosen by the members.



Special Meeting:
If 25% of total Council Members submit a written request, the President must direct the Executive Director to convene a meeting within 15 days.



Quorum:
50% of total Council Members.



Decision-Making:
Majority opinion determines the decision; the chairperson has a casting vote in case of a tie.



Authentication:
Executive Director authenticates Council decisions.



Observers:
Council may invite Government officers, domestic or foreign experts, advisers or distinguished persons related to accounting as observers.



Other Procedures:
Determined by the Council itself.



Section 11: Functions, Duties and Powers of the Council

1. **Examinations**
   Conduct examinations for entry into the accounting profession.
2. **Registration**
   Determine procedures for registration of Institute members and members holding a Certificate of Practice (CoP).
3. **Membership**
   Grant appropriate classes of membership under Section 16 to qualified persons.
4. **Professional Development**
   Develop the accounting profession through coordinated and optimal use of available resources.
5. **Manpower and Qualifications**
   Determine qualifications required for skilled manpower in the accounting profession.
6. **Curriculum and Training**
   Determine membership curriculum and practical training requirements.
7. **Education Programmes**
   Conduct teaching and training programmes independently or in collaboration with universities and academic institutions.
8. **Certificate of Practice**
   Issue CoP to members for practising the accounting profession.
9. **Career Development**
   Provide career development opportunities and enhance members' efficiency.
10. **Code of Conduct Monitoring**
    Monitor complianes with the prescribed professional code of conduct by members and CoP holders.
11. **Disciplinary Action**
    Take necessary action based on Disciplinary Committee recommendations for professional misconduct.
12. **Technical Guidance**
    Provide theoretical and practical guidance on accounting, auditing and professional development.
13. **Standards Compliance**
    Ensure compliance with Accounting Standards and Standards on Auditing arranged or recommended by the relevant Boards, and monitor such compliance.
14. **Members' Protection**
    Safeguard members' rights, interests and professional reputation.
15. **Government Advice**
    Advise the Government of Nepal on improving laws relating to industry, commerce, finance, revenue and the accounting profession.
16. **International Relations**
    Obtain membership of international, regional and sub-regional accounting federations and establish contacts with foreign accounting bodies.
17. **Educational Standards**
    Recommend appropriate accounting education standards in coordination with universities and other educational institutions.
18. **Registered Auditor Training**
    Conduct training, symposia and seminars to enhance Registered Auditors' professional efficiency.
19. **Professional Training**
    Organise short-term and long-term training, symposia and similar programmes for accounting professionals.
20. **Publications**
    Publish materials related to the accounting profession.
21. **Library**
    Operate a professional accounting library.
22. **Committee Procedures**
    Determine procedures for committees constituted by the Council.
23. **Budget and Fund**
    Approve the Institute's budget and arrange its Fund.
24. **Staff Administration**
    Appoint required employees and determine their remuneration and other benefits.
25. **Continuing Professional Education (CPE)**
    Arrange continuing professional education for members.
26. **Accounting Technicians**
    Develop an education system to produce accounting technicians and undertake related activities.
27. **Other Prescribed Functions**
    Perform functions prescribed under the Act, Regulations and Bylaws.
28. **Residual Powers**
    Carry out other work necessary to fulfil the objectives of the Act.

GOVERNANCE FRAMEWORK: ACTIONS AND COMMITTEES

SECTION 12: ACTIONS NOT TO BE INVALID

Validity of Council Decisions: Actions taken in accordance with Council decisions remain valid despite:

A vacant seat of a Council Member





Election or nomination of a person who lacks the required qualifications to be a Council Member

SECTION 13: COMMITTEES OF THE COUNCIL

Standing Committees: The Council may constitute the following committees under its own responsibility:



Disciplinary Committee
1. Disciplinary Committee



Examination Committee
2. Examination Committee



Executive Committee
3. Executive Committee



Professional Guidance Committee
4. Professional Guidance Committee



Other Committees: The Council may constitute additional committees as necessary to fulfil the Institute's objectives.





Functions, Duties and Powers: As prescribed.





Restriction on Committee Membership:
Except for the President and Vice-President, a member of one committee cannot be included in another committee constituted under Section 13(1).



SECTION 14: DISCIPLINARY COMMITTEE

PURPOSE:
- Investigate complaints or information regarding violations of the Act, Regulations or professional code of conduct and recommend necessary action to the Council.

COMPOSITION:
- **Chairman:** One Fellow Chartered Accountant (FCA) from Council Members elected under Section 7(3)(a), designated by the Council.
- **3 Members:** Nominated by the Council from among Council Members.
- **2 Members:** Nominated by the Council from among Institute members.
- **1 Member:** Nominated by the Auditor General.

CONFLICT OF INTEREST:
The Chairman or a Committee Member cannot participate or vote when investigating a complaint against themselves.

MEETINGS AND TENURE:
Procedures and terms of office are as prescribed.

INVESTIGATIVE POWERS:
Has the same powers as a court to issue orders to concerned persons and examine evidence and witnesses.

RECOMMENDATION AND PUNISHMENT:
The Committee submits its findings and recommendations to the Council. Depending on the gravity of the offence, the Council may impose:
1. Reprimand.
2. Removal from membership for up to 5 years.
3. Prohibition from practising the accounting profession for a specified period.
4. Cancellation of the Certificate of Practice or membership certificate.

COUNCIL MEMBER UNDER INVESTIGATION:
A Council Member concerned with a disciplinary recommendation cannot participate or vote when the Council decides on that recommendation.

RIGHT TO CLARIFICATION:
The Council must provide the concerned member a reasonable opportunity to submit a clarification before imposing punishment.

RIGHT TO APPEAL:
An aggrieved member may appeal to the High Court against the Council's disciplinary decision.

SECTION 15: EXECUTIVE COMMITTEE

PURPOSE:
- Conduct the Institute's day-to-day business under the direction of the Council.

COMPOSITION:
- **Chairman:** President.
- **Vice-Chairman:** Vice-President.
- **2 Members:** Nominated by the Council from among Council Members.
- **Member-Secretary:** Executive Director.

FUNCTIONS, DUTIES AND POWERS:
As prescribed.

MEETING PROCEDURES:
As prescribed.



Rule 80 Filing a Complaint

- Any concerned party/person may file a complaint with the Institute against a member, attaching all available facts.
- No fee shall be charged when a body of the Government of Nepal or any other body designated by the Council as exempt files a complaint.

Rule 81(1) Complaint Forwarded

Upon receiving the complaint pursuant to Rule 80, the Institute shall forward the complaint to the Disciplinary Committee for investigation.

Rule 82 Restriction on Participating in Meetings

If the member against whom a complaint is filed, or a partner/employee or their relative is a member of the Committee, they shall not be allowed to participate in the meeting regarding that matter.

Rule 83 Limitation of Time for Investigation

- No action or investigation shall be conducted on a complaint regarding actions/operations carried out more than 3 years prior.
- Exception: If a request is received from an authorized government body for serious actions, or if the Council deems it appropriate, investigation can be conducted regarding that matter.

RULE 81 – PROCEDURE FOR INVESTIGATION OF COMPLAINTS

2 Rule 81(2) Notice to Accused

- Copy of complaint sent to member/firm asking why action should not be taken.
- Opportunity to submit written clarification with supporting evidence within minimum 15 days.

3 Rule 81(3) Submission of Defense

The member/firm must submit its defense/clarification within the time frame with objective evidence regarding the allegations.

4 Rule 81(4) & 81(5) Complainant's Response

- Defense copy sent to complainant with minimum 15 days to provide response.
- Complainant must send response within the time frame, mentioning any claim or evidence supporting the allegation.

5 Rule 81(6) Reply to Response

- Response copy sent to member/firm with minimum 15 days to state their stance or counter-arguments.

7 Rule 81(9) Statement & Hearing

- Committee may record statement of complainant or accused member or partner.
- Defense may be presented in person or through legal practitioner.

8 Rule 81(10) Investigation Continues

Even if no defense/response is received or not reasonable, or details/documents/information not received, Committee may proceed on the basis of available facts and evidence.

9 Rule 81(11) Other Procedure

Committee may adopt any other procedure if deemed appropriate. Such procedure must be mentioned in its report.

Rule 84(1) Submission of Report

After completing the investigation pursuant to Rule 81, the Disciplinary Committee shall submit a report containing its findings, a description of the investigation, and its opinion on the complaint to the Council.

Rule 84(2) Council shall resolve the complaint as follows:

(a) Archiving of report

If the Disciplinary Committee has recommended archiving the complaint, and the Council agrees, it shall give a directive to archive the complaint and inform the complainant accordingly.

(b) Guilty Finding

- If report concludes that the accused member/institution is guilty, the Council shall provide a copy of that report to the concerned member or institution.
- It must grant a reasonable opportunity to submit a clarification in writing, through a representative or by appearing in person, for a final time pursuant to Section 14(5) of the Act.
- If Council feels necessary to cross-examine any matter upon receiving the written clarification, it may send the matter back to the Disciplinary Committee to re-examine the issue and submit a report again.

(c) Determination of Punishment

After completing the procedures under Clauses (a) and (b), if guilt of the accused member or any partner of the institution is proved, punishment must be determined pursuant to Section 14(5) of the Act.

PUBLICATION OF DISCIPLINARY ACTION

The decision of disciplinary action taken by the Institute shall be published in a national-level newspaper or on the website of the Institute.

Explain the provisions of Accounting and Auditing Standards Board of the Act (Section 15a – 15f)

LO	Syllabus content	Technical grid reference
LO 1c	❖ About Accounting Standards Board ❖ Formation of Accounting Standards Board ❖ Functions, duties and powers of Accounting Standards ❖ Board ❖ Circumstance where member ceases to hold office ❖ About Standards on Auditing Board ❖ Formation of Standards on Auditing Board ❖ Functions, duties and powers of Standards on Auditing Board ❖ Circumstance where member ceases to hold office	Section 15 A to 15 F of the Nepal Chartered Accountants Act, 2053

15A – 15C. Accounting Standards Board

Nepal Chartered Accountants Act, 2053

15A Constitution of the Accounting Standards Board

(1) Nepal Government shall constitute an Accounting Standards Board in order to systematize and regulate financial reporting and the accounting profession.

(2) The Accounting Standards Board shall consist of the following members:–

(a)	One person nominated by Nepal Government from amongst the Fellow Chartered Accountants	Chairman
(b)	Representative, Ministry of Finance	Member
(c)	Representative, Office of the Auditor General	Member
(d)	Representative, Office of the Comptroller General	Member
(e)	Registrar, Office of the Company Registrar	Member
(f)	Director General, Department of Inland Revenue	Member
(g)	Chairperson, or a representative designated by him or her, Securities Board of Nepal	Member
(h)	Five persons nominated by Nepal Government, on the recommendation of the Council, from amongst the Chartered Accountants	Member
(i)	One person nominated by Nepal Government, on the recommendation of the Council, from amongst the Registered Auditor members	Member

(3) The Accounting Standards Board may, if it deems necessary, invite the concerned experts to attend its meetings as observers.

(4) The term of office of the members referred to in clauses (a), (h) and (i) of sub-section (2) shall be three years, and upon expiry of the term they shall be eligible for re-appointment or re-nomination.

(5) The procedure of the meetings of the Accounting Standards Board shall be as determined by the Board itself.

(6) The secretariat of the Accounting Standards Board shall be located at the head office of the Institute.

15B Functions, Duties and Powers of the Accounting Standards Board

The functions, duties and powers of the Accounting Standards Board shall be as follows:–

(a) To arrange Accounting Standards, taking as a basis, among others, the International Accounting Standards, in order to systematize and regulate financial reporting and the accounting profession,

(b) To prepare appropriate procedures for developing the Accounting Standards and to publish materials relating to the Accounting Standards,

(c) To amend, improve and revise the Accounting Standards,

(d) To interpret the Accounting Standards,

(e) To carry out other work relating to the Accounting Standards.



15C Circumstances in which a member shall cease to hold office

A member of the Accounting Standards Board shall not remain in office in any of the following circumstances:–

(a) If he or she resigns,

(b) If he or she remains absent from three consecutive meetings of the Board without notice,

(c) If he or she is convicted by a court and sentenced for a criminal charge involving moral turpitude,

(d) If he or she becomes insane,

(e) If he or she is declared insolvent, being unable to repay the creditors' debts,

(f) If he or she dies,

(g) In the case of a member of the Institute, if his or her name is removed from the membership register pursuant to section 22.

CHAPTER – 3B Standards on Auditing Board



15D Constitution of the Standards on Auditing Board

(1) Nepal Government shall constitute a Standards on Auditing Board in order to systematize and regulate the accounting profession and auditing.

(2) The Standards on Auditing Board shall consist of the following members:–

(a)	One person nominated by Nepal Government from amongst the Fellow Chartered Accountants	Chairman
(b)	Representative, Ministry of Finance	Member
(c)	Representative, Office of the Auditor General	Member
(d)	Three persons nominated by Nepal Government, on the recommendation of the Council, from amongst the Chartered Accountants	Member
(e)	One person nominated by Nepal Government, on the recommendation of the Council, from amongst the Registered Auditor members	Member

(3) The Standards on Auditing Board may, if it deems necessary, invite the concerned experts to attend its meetings as observers.

(4) The term of office of the members referred to in clauses (a), (d) and (e) of sub-section (2) shall be three years, and upon expiry of the term they shall be eligible for re-appointment or re-nomination.

(5) The procedure of the meetings of the Standards on Auditing Board shall be as determined by the Board itself.

(6) The secretariat of the Standards on Auditing Board shall be located at the head office of the Institute.

15E Functions, Duties and Powers of the Standards on Auditing Board

The functions, duties and powers of the Standards on Auditing Board shall be as follows:–

(a) To arrange Standards on Auditing, taking as a basis, among others, the International Standards on Auditing, in order to systematize and regulate the accounting profession and auditing,

(b) To prepare appropriate procedures for developing the Standards on Auditing and to publish materials relating to the Standards on Auditing,

(c) To amend, improve and revise the Standards on Auditing,

(d) To interpret the Standards on Auditing,

(e) To carry out other work relating to the Standards on Auditing.



15F Circumstances in which a member shall cease to hold office

A member of the Standards on Auditing Board shall not remain in office in any of the following circumstances:–

(a) If he or she resigns,

(b) If he or she remains absent from three consecutive meetings of the Board without notice,

(c) If he or she is convicted by a court and sentenced for a criminal charge involving moral turpiitude,

(d) If he or she becomes insane,

(e) If he or she is declared insolvent, being unable to repay the creditors' debts,

(f) If he or she dies,

(g) In the case of a member of the Institute, if his or her name is removed from the membership register pursuant to section 22.

Explain the provisions on recognition of Educational Qualification (Section 26 - 27), Certificate of Practice (CoP) (Sections 28 – 33), conducts to be observed and complaints to be made, funds, accounts, audit, Executive Director and other employees of ICAN and punishment to be imposed by ICAN (Sections 34 – 41)

LO	Syllabus content	Technical grid reference
LO 1d	❖ Council to give recognition of Educational Qualification ❖ Recognition to foreign accountancy practitioner institute ❖ Professional certificate ❖ Registration of accountancy practitioner institute ❖ Prohibition on providing auditing service ❖ Special provision relating to registered auditor ❖ Ceiling of auditing ❖ Upgrading of class of professional certificate ❖ Matters to be set out in report ❖ Conduct to be observed ❖ Complaint to be made ❖ Fund of Institute ❖ Accounts and audit of fund of Institute ❖ Secretary/ Executive Director ❖ Functions, duties and powers of secretary ❖ Other employees of Institute ❖ Punishment	Section 26, 27, 28 to 33 and 34 to 41 of the Nepal Chartered Accountants Act, 2053

CHAPTER 6: RECOGNITION OF EDUCATIONAL QUALIFICATIONS

SECTION 26: RECOGNITION BY THE COUNCIL



APPLICATION FOR RECOGNITION

A person who has passed a Chartered Accountancy or equivalent examination from a foreign accounting body and received training must apply to the Institute for recognition.



COUNCIL'S DECISION

The Council decides whether to recognise the examination and training.





CONDITIONS FOR RECOGNITION

The Council may specify conditions that the applicant must fulfil before recognition.



ELIGIBILITY FOR MEMBERSHIP

Where conditions are imposed, the applicant may apply for Institute membership only after fulfilling those conditions.



SECTION 27: RECOGNITION OF FOREIGN ACCOUNTING BODIES



RECOGNITION AUTHORITY

The Council may recognise foreign accounting bodies, their examinations and training with the prior approval of the Government of Nepal.





LIST OF RECOGNISED BODIES

The Council must maintain a list of recognised foreign accounting bodies.



SIMPLIFIED RECOGNITION PROCEDURE

Examinatiions and training provided by bodies included in the list are exempt from the separate recognition procedure under Section 26.

CHAPTER 7: Certificate of Practice

Section 28: Certificate of Practice (CoP)



- **Application**
  A member wishing to provide audit services must apply to the Institute in the prescribed format.



- **Grant of CoP**
  The Council grants a CoP after the applicant fulfils fulfils the prescribed conditions.



- **Conditions and Code of Conduct**
  The Council may prescribe and enforce conditions and a code of conduct for CoP holders.

Section 28A: Registration of Accounting Firms



- **Application for Registration**
  A CoP holder wishing to provide audit services in the name of an accounting firm must apply to the Institute.



- **Registration Procedure**
  As prescribed



Registration Certificate
The Council issues a certificate of registration after completion of the prescribed procedure.

Section 29: Prohibition on Providing Audit Services



Unlicensed auditor

- **Mandatory CoP**
  No person may provide audit services without obtaining a Certificate of Practice.



- **Exception**
  The Government of Nepal may establish separate arrangements to regulate audits other than those of companies or business organisations established under the Companies Act.

Section 30: Special Provision Relating to Registered Auditors



Classification
The Council classifies Registered Auditors existing when this section commenced, as prescribed.



Grant of CoP
Classified Registered Auditors receive a CoP to provide audit services under the Act.



Protection of Existing Benefits
Registered Auditors shall not be deprived of benefits previously available under the Auditors Act, 2031.

CHAPTER 7: CERTIFICATE OF PRACTICE (contd..)

Section 30A: Limit of Audit Work

- **Audit Work Limit:** The Council determines the limit of audit work for CoP holders classified under Section 30.
- **Government Approval:** The limit requires approval from the Government of Nepal.



Section 30B: Upgrading of Class of Certificate of Practice

- **Class Upgrading:** The Council may upgrade the class of a Registered Auditor's CoP under Section 30.
- **Procedure:** Upgrading must follow the prescribed procedure.



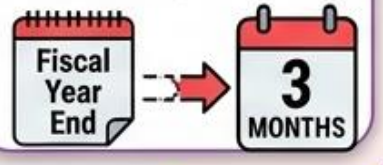
Section 31: Matters to Be Disclosed in the Audit Report

- **Mandatory Disclosure:** A CoP holder must disclose the prescribed matters in the audit report.



Section 32: Publication of List of Members

- **Publication Requirement:** The Institute must publish the list of members and CoP holders.
- **Deadline:** Within 3 months after the end of each fiscal year.



Section 33: Fees to Be Paid

- **Persons Liable to Pay:** The following must pay the prescribed fees to the Institute:
  - Members of the Institute.
  - Members holding a Certificate of Practice.
  - Accounting firms registered under Section 28A.



❖ ➢ GUIDELINES ON PROFESSIONAL CERTIFICATE (COP) MANAGEMENT

❖ Rule 50 – Validity and Renewal of Professional Certificate

➢ Professional Certificate (COP) remains valid till the end of the same fiscal year of issuance.

➢ **Renewal Timeline**



✓ Renew within 60 days of expiry by paying prescribed renewal fee.
If not renewed within 60 days: Renew within next 60 days with 15% additional fee.

✓ If still not renewed: Renew within further 60 days with 25% additional fee.
✓ If not renewed within the above periods: Certificate is automatically cancelled.

❖ Rule 51 – Cancellation of Professional Certificate (COP)

➢ Professional Certificate shall be cancelled if:







✓ Obtained by submitting false information
✓ Member's name is removed from Membership Register
✓ Member engages in non-accounting profession/business in violation of Rule 52(3)



❖ Rule 52 – Suspension of Professional Certificate (COP)



➢ **Grounds for Suspension:** Professional Certificate remains suspended if:







✓ Council prohibits practice for a specified period under Section 14(5)(c)
✓ Member voluntarily requests suspension with reasons



✓ Member fails to complete required CPE credit hours under Rule 55



Insufficient hours

✓ RA member enrolls in CA education during mandatory training period





➢ **Removal of Suspension:**



✓ Member may apply for lifting suspension along with renewal fee.





✓ No renewal fee charged for suspension period.



❖ Rule 52 – Suspension of Professional Certificate (COP)

➢ **Restriction on Other Profession**

- ✓ COP holder cannot engage in non-accounting profession/business simultaneously.
- ✓ If intending to engage in another profession/business:
  - ❑ Application for suspension must be submitted at least 7 days before starting such activity.

Application for suspension must be submitted at **least 7 days** before starting such activity.

❖ Rule 52A – Authorization to Conduct Audits

Audits allowed up to Ashad 2080 (Mid-July 2023)

➢ Serving Registered Auditor (RA) members were allowed to conduct audits up to Ashad 2080 (Mid-July 2023) except for:

- ✓ Public companies and private companies exceeding NPR 1 Crore
- ✓ Educational institutions established as private companies exceeding NPR 2 Crores
- ✓ Urban Savings & Credit Cooperatives exceeding NPR 3 Crores
- ✓ Private and partnership firms/industries exceeding NPR 2 Crores

❖ Rule 53 – Audit Authorization Limit

➢ *Audit Limit by COP Class*

Class	Limit
CA/ RA Class "A"	No Limit ∞
RA Class "B"	1 Arba
RA Class "C"	25 Crores
RA Class "D"	5 Crores

❖ Rule 53 – Audit Authorization Limit

➢ **Other Provisions:** Council may revise audit limits every 3 years based on:
- WPI Wholesale Price Index (WPI) published by Nepal Rastra Bank.
- Revised limits become effective from Shrawan 1 of that year.

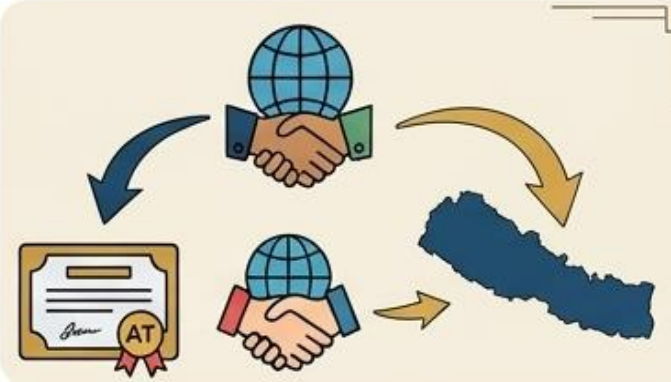





❖ Rule 53A – Audit Rights of Accounting Technicians

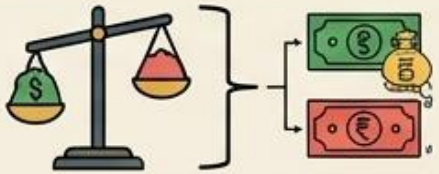
➢ Accounting Technicians (AT) with valid license may conduct audits up to NPR 20 Crores.

➢ Applicable to:
- ✓ Existing AT license holders
- ✓ Persons who passed AT education
- ✓ Registered AT students passing within prescribed period



❖ Meaning of "Amount"



Amount means:

➢ Total assets or liabilities shown in Balance Sheet.

➢ If no Balance Sheet is prepared: Total income/expenditure or profit/loss amount shall be considered.



❖ Rule 56 – Non-Nepali Citizens Practicing Accounting Profession

➢ Foreign citizens must form a partnership firm with a Nepali citizen to practice accounting profession in Nepal.

➢ Nature, scope and limitations of such firms shall be determined by the Council.

➢ Foreign citizens already practicing at the commencement of the Regulations must register such partnership firm within 2 years.




➢ Non-Nepali citizen members cannot engage in businesses prohibited under:
- ✓ Foreign Investment and Technology Transfer Act, 2075, or
- ✓ other prevailing laws.






SECTION 34 – MEMBERS TO OBSERVE THE CONDUCT

TECHNIQUE 1
EASY MEMORY LINE & TABLE

MEMORY LINE:

"Follow Law, Audit Properly, Keep Secrets, Stay Independent, Verify Facts, Avoid Greed."



SUB-SEC	KEYWORD	EASY MEMORY TRICK
34(1)	Follow Act & Regulations	CA must obey the rulebook.
34(2)	No partnership with unlicensed person	Don't audit with fake CA friends.
34(3)	No fee sharing/ commission	Audit fee is not brokerage business.
34(4)	No threats or inducement	Don't scare or bribe clients for work.
34(5)	Maintain confidentiality	Client secrets stay secret.
34(6)	Verify before certifying	Check first, sign later.
34(7)	Disclose interest/conflict	Tell if you have interest in company.
34(8)	Report true material facts	Never hide important facts.
34(9)	Exercise due care	Be careful and professional.
34(10)	No percentage-based fee	No profit-sharing audit fee.
34(11)	No false statement	Never lie in reports.
34(12)	3-year cooling period	Can't audit old employer for 3 years.
34(13)	Proper appointment required	Check valid appointment first.
34(14)	Obtain sufficient information	Collect enough evidence before opinion.
34(15)	Other prescribed conduct	More ethics rules may come.

TECHNIQUE 2
GROUPING TECHNIQUE

A. ETHICS RULES (1–5)

34(1) Follow Act & Regulations
34(2) No partnership with unlicensed person
34(3) No fee sharing/commission
34(4) No threats or inducement
34(5) Maintain confidentiality

B. AUDIT QUALITY RULES (6–9)

34(6) Verify before certifying
34(7) Disclose interest/conflict
34(8) Report true material facts
34(9) Exercise due care

C. PROFESSIONAL INTEGRITY RULES (10–14)

34(10) No percentage-based fee
34(11) No false statement
34(12) 3-year cooling period
34(13) Proper appointment required
34(14) Obtain sufficient information

EXTRA (15)

34(15) Other prescribed conduct
More ethics rules may come.

TECHNIQUE 3
FUN STORY METHOD

THE STORY OF MR. HONEST AUDITOR



1. He follows the law.
2. Refuses fake CA partners.
3. Doesn't take commissions.
4. Doesn't threaten clients.
5. Keeps secrets safe.
6. Checks documents before signing.
7. Declares conflicts of interest.
8. Reports all important facts.
9. Audits carefully.
10. Refuses profit-based fees.
11. Never lies.
12. Waits 3 years before auditing old employer.
13. Accepts only valid appointments.
14. Collects enough evidence first.
15. Follows other ethics rules too.

EXAM HACK

- Write subsection number first
- Then write 2–3 keywords only
- Then explain briefly

EXAMPLE

34(5) – Confidentiality:
Member shall not disclose client information except where required by law.

LEGAL AND FINANCIAL SECTIONS: INSTITUTE OF CHARTERED ACCOUNTANTS OF NEPAL (ICAN)

SECTION 35: COMPLAINTS MAY BE LODGED

Right to Lodge a Complaint:



Any concerned person may complain to the Institute against a Certificate of Practice (CoP) holder for:

- Failure to observe the conduct prescribed under the Act or Regulations.



- Violation of the Act or Regulations.



Action by Executive Director:





If facts indicate possible misconduct by a CoP holder, the Executive Director must submit a proposal to the Council, along with the findings, for necessary action.

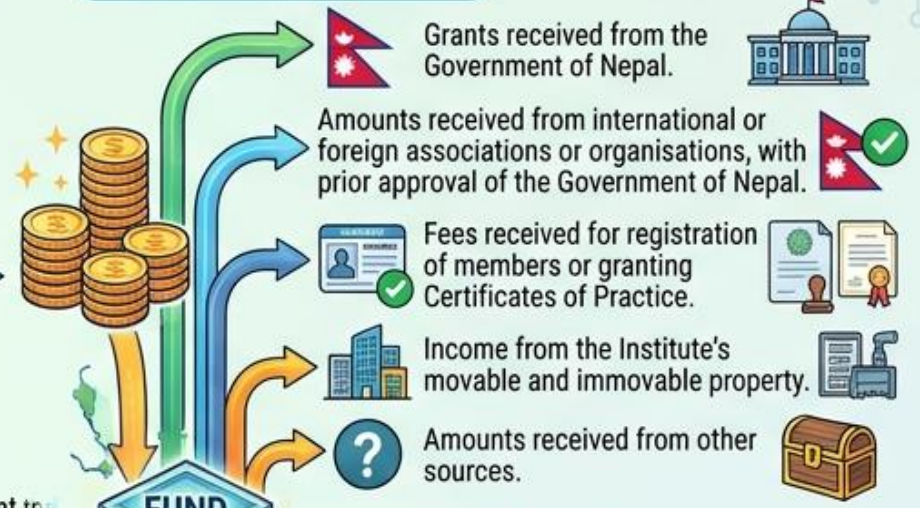
SECTION 36: FUNDS OF THE INSTITUTE

Separate Fund:

The Institute shall maintain its own Fund.



Sources of the Fund:



- Grants received from the Government of Nepal.
- Amounts received from international or foreign associations or organisations, with prior approval of the Government of Nepal.
- Fees received for registration of members or granting Certificates of Practice.
- Income from the Institute's movable and immovable property.
- Amounts received from other sources.

Separate Fund:

The amounts received must the government to an organisation or organisation; or organisational bank in the Institutes with prior approval of of Nepal.

Use of Funds:

All Institute expenses shall be met from the Fund.



Purpose-Specific Funds: Amounts received for a specific purpose must be used only for that purpose.

Bank Deposit:



All amounts received must be deposited in an account opened in the Institute's name at a commercial bank in Nepal.



- **Control of Expenditure:** The Executive Director incurs expenses under the supervision and control of the Council.
- **Operation of Fund Account:** The account shall be operated as determined by the Council.

'ADMINISTRATION AND ACCOUNTS OF THE INSTITUTE'

SECTION 37: ACCOUNTS AND AUDIT OF THE FUND OF THE INSTITUTE



MAINTENANCE OF ACCOUNTS: Income and expenditure accounts shall be maintained in the format determined by the Council.



AUDIT OF ACCOUNTS: Accounts shall be audited by an accounting professional appointed by the Council.



GOVERNMENT INSPECTION: The Government of Nepal may inspect, or cause to be inspected, the Institute's accounting documents at any time.

SECTION 38: EXECUTIVE DIRECTOR



APPOINTMENT: The Council appoints an experienced accounting professional as Executive Director to manage the Institute's administrative affairs.



TENURE: 4 years; eligible for reappointment at the Council's discretion.



ACTING EXECUTIVE DIRECTOR: In the Executive Director's absence, the Council may designate an officer-level employee to act in that capacity.

SECTION 39: FUNCTIONS, DUTIES AND POWERS OF THE EXECUTIVE DIRECTOR



CHIEF EXECUTIVE: Acts as the Institute's chief executive and remains accountable to the Council.



DAILY ADMINISTRATION: Manages the Institute's day-to-day administrative activities.



ANNUAL BUDGET: Prepares the annual budget and submits it to the Council.



ACCOUNTS: Maintains, or ensures the maintenance maintenance of, the Institute's accounts.



REGISTERS: Keeps and maintains updated registers of Institute members and Certificate of Practice (CoP) holders.



SUPERVISION AND CONTROL: Works under the supervision and control of the Council.



OTHER FUNCTIONS: Performs additional functions, duties and powers as prescribed.

SECTION 40: OTHER EMPLOYEES OF THE INSTITUTE



APPOINTMENT: The Council appoints employees required by the Institute.



SUPERVISION AND CONTROL: Employees work under the direct supervision and control of the Executive Director.



TERMS OF SERVICE AND BENEFITS: Conditions of service, remuneration and other benefits are as prescribed.

SECTION 41: PUNISHMENT

41(1)

A person, who carries out audit without obtaining a Certificate of Practice, pursuant to this Act, shall be liable of punishment.

- Fine up to **Rs. 2,000**, or
- Imprisonment up to **3 months**, or
- Both.

41(2)

A person, who in contravention of Section 6 uses the name or the seal of the Institute or exercises any type of authority bestowed to the Institute, shall be punished.

First offence:

- Fine up to **Rs. 1,000.**

Subsequent offence:

- Fine up to **Rs. 5,000**, or
- Imprisonment up to **6 months**, or
- Both.

Provided that this sub-section shall not apply to the organizations or university established under their own legislation or the units within the Institute.

41(3)

A person, who has not obtained a Certificate of Practice and is proved to have signed any document in capacity of the member holding Certificate of Practice, shall be liable to punishment.

- Fine up to **Rs. 2,000**, or
- Imprisonment up to **3 months**, or
- Both.

41(4)

A member, who commits any act contrary to the provisions of this Act or Regulations framed under this Act other than the provisions of this section, shall be punished.

- Suspension up to **5 years**,
- Fine up to **Rs. 2,000**, or
- Imprisonment up to **3 months**, or
- Both.

41(5)

A complainant who lodges a complaint, without any reasonable cause to make complaint and it is proved that the complaint was made with an intention to harass a member, shall be liable to punishment.

- Fine up to **Rs. 1,000**.

41(6)

The complain cases, except those to be heard under Section 14, lodged in the Council against any member, pursuant to Section 35, shall be instituted in the concerned Appellate Court.

- Shall be instituted in the concerned **Appellate Court.**

Explain general provisions of saving of act done in good faith, delegation of power, power to give direction, liaison with Government of Nepal, power to frame rules and by-laws and repeal and saving (Section 43 – 49)

LO	Syllabus content	Technical grid reference
LO 1e	❖ Saving of act done in good faith ❖ Delegation of power ❖ Power to give direction ❖ Liaison with Government of Nepal ❖ Power to frame Rules ❖ Power to frame Bye-laws ❖ Repeal and saving	Section 43 to 49 of the Nepal Chartered Accountants Act, 2053

REGULATORY FRAMEWORK OVERVIEW

SECTION 43: PROTECTION FOR ACTS DONE IN GOOD FAITH

Personal Liability Protection:
Council members, Institute committee members, the Executive Director and Institute employees are not personally liable for acts performed in good faith in accordance with the Act or Regulations.

SECTION 44: DELEGATION OF AUTHORITY



Council's Delegation:
The Council may delegate all or some of its powers under the Act to a committee or the Executive Director, as necessary.

Officers' Delegation:
An officer may delegate some of their powers to a subordinate officer-level employee, to be exercised under the officer's general supervision.

SECTION 45: POWER TO GIVE DIRECTIVES

Government Directives:
The Government of Nepal may issue necessary directives to the Council regarding the Institute's business and activities.

Auditor General's Directives:
The Auditor General may issue directives concerning the development, protection and promotion of the accounting profession.

Compliance:
The Council must comply with directives issued by the Government of Nepal or the Auditor General under this section.

REGULATORY FRAMEWORK OVERVIEW (CONT.)

SECTION 46: CONTACT WITH THE GOVERNMENT OF NEPAL



Official Communication:
The Institute must maintain contact contact with the Government of Nepal through the Ministry of Finance.

SECTION 47: POWER TO FRAME REGULATIONS



Council's Authority:
The Council may frame necessary Regulations to implement the objectives of the Act.

Ad-hoc Council's Authority:
Until the Council under Section 7 is constituted, the Ad-hoc Council under Section 42 may frame Regulations for membership registration certificates and Council Member elections.



Government Approval:
Regulations framed by either Council require approval from the Government of Nepal before coming into force.



Replacement of Regulations:
Once the Council's Regulations under Section 47(1) come into force, the Ad-Council's Regulations under Section 47(2) automatically become ineffective.

SECTION 48: POWER TO FRAME BYLAWS



Authority:
The Council may frame Bylaws for the Institute's day-to-day operations.



Legal Compliance:
Bylaws must comply with the Act and Regulations framed under it.



SECTION 49: REPEAL AND SAVINGS



Repeal: The Auditors Act, 2031 (1974), is repealed.

Recognition of Existing Auditors:
An auditor recognised by the Department of the Auditor General under any prevailing law is deemed to be a member holding a Certificate of Practice (CoP) under this Act.



Explain and evaluate on relevant provisions of Nepal Chartered Accountants Regulation.

LO	Syllabus content	Technical grid reference
LO 1f	❖ Relevant provisions of Nepal Chartered Accountants Regulation	Nepal Chartered Accountants Regulation, 2061

Explain about appointment, qualifications and disqualifications of the Auditor General (Article 240 of Constitution of Nepal) and provisions of bodies to be audited by the Auditor General to understand relationship with the Nepal Chartered Accountants Act, 2053 (Sections 3, 10 and 11 of the Audit Act, 2075)

LO	Syllabus content	Technical grid reference
LO 1g	❖ Appointment of Auditor General ❖ Qualifications and disqualifications of the Auditor General ❖ Removal of the Auditor General ❖ Functions, duties and powers of the Auditor General ❖ Entities whose audit is to be conducted by Auditor General ❖ Audit of corporate bodies wholly owned by ❖ Government of Nepal, Province Government or Federal Government ❖ Audit of corporate bodies whose more than fifty percent shares or assets are owned by Government of Nepal, Province Government or Federal Government	Article 240 of Constitution of Nepal and Sections 3, 10 and 11 of the Audit Act, 2075

Article 240
Auditor General



1 Constitutional Position



- There shall be an Auditor General of Nepal.

2 Appointment



- Appointed by the President on the recommendation of the Constitutional Council.

3 Tenure



- 6 years from the date of appointment.

4 Grounds for Vacancy

- Written resignation submitted to the President.
- Attainment of 65 years of age.
- Passage of an impeachment motion under Article 101.
- Removal by the President on the Constitutional Council's recommendation due to physical or mental illness preventing the discharge of duties.
- Death.



5 Reappointment



- Not eligible for reappointment.

6 Qualifications for Appointment



- Served in the Special Class of the Government of Nepal; or possesses at least 20 years of audit-related work experience after obtaining a bachelor's degree in management, commerce or accounting from a recognised university or passing a Chartered Accountancy examination.
- Must not be a member of any political party at the time of appointment.
- Must have attained 45 years of age.
- Must possess high moral character.

7 Remuneration and Conditions of Service



- As provided by Federal law.
- Cannot be altered to the Auditor General's disadvantage during the term of office.
- **Exception:** This protection does not apply when a state of emergency is declared due to extreme economic disarray.

8 Ineligibility for Other Government Service



- A former Auditor General cannot be appointed to another government service.

9 Exceptions to the Restriction



Appointment remains permissible to:

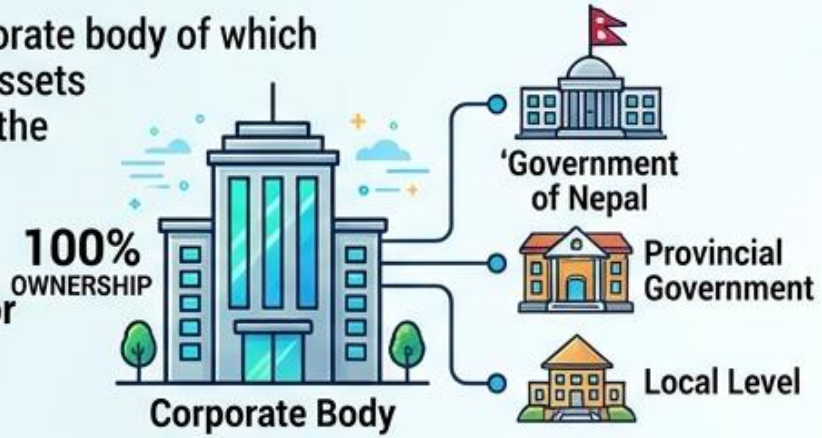
- A political position.
- A position responsible for investigations, inquiries or findings.
- A position responsible for providing advice, opinions or recommendations following study or research.

SECTION 2

DEFINITIONS: CORPORATE BODIES

(b) "Corporate body wholly owned by the Government of Nepal, Provincial Government or Local Level"

- Means a corporate body of which all shares or assets are owned by the **Government of Nepal, Provincial Government or Local Level**



- OR a corporate body of which all shares or assets are owned **by the aforesaid corporate body** or by such a **corporate body and the Government of Nepal, Provincial Government or Local Level.**



- This term also includes a corporate body for which the **Government of Nepal, Provincial Government or Local Level is required to bear full responsibility.**



(f) "Corporate body"

- Means a corporate body of which more than fifty percent **of the shares or assets** are owned by the Government of Nepal, Provincial Government or Local Level



- And this term also includes a body of which the corporate body owns more than fifty percent of the shares or assets.



SOURCE: EXTRACTED TEXT - SECTION 2

SOURCE: EXTRACTED TEXT - SECTION 2

SECTION 3: BODIES TO BE AUDITED BY THE AUDITOR GENERAL



Government Offices

All Government offices.



Wholly Government-Owned Corporate Bodies

Corporate bodies wholly owned by the Government of Nepal, Provincial Government or Local Level.



Other Bodies

Bodies or institutions whose audit is required to be performed by the Auditor General under Federal law.

Responsibility of Officials: Responsible officials must prepare and furnish income and expenditure accounts and financial statements according to prevailing law and submit them for final audit by the Auditor General.

SECTION 10: AUDIT OF WHOLLY GOVERNMENT-OWNED CORPORATE BODIES



Auditor General



Assistant Auditor

Appointment of Assistant Auditors: The Auditor General may appoint auditors licensed under prevailing law to assist in auditing corporate bodies wholly owned by the Government of Nepal, Provincial Government or Local Level.



Supervision

Supervision: Appointed auditors work under the direction, control and supervision of the Auditor General.



Functions and Procedures: Their duties, powers, service conditions, obligations, audit procedures and reporting requirements are governed by this Act and, where the Act is silent, by the Auditor General's directions.



Remuneration: The Auditor General determines the remuneration payable by the concerned corporate body, considering:

- Volume of financial transactions
- Status of accounts
- Number of branches and sub-branches
- Workload
- Work progress

SECTION 11: AUDIT OF CORPORATE BODIES



Corporate Body



Auditor



Appointment of Auditor: A corporate body may appoint an auditor and have its accounts audited according to the principles specified by the Auditor General.



Consultation: The corporate body must consult the Auditor General when appointing an auditor.



Submission of Audit Report: A copy of the auditor's report must also be forwarded to the Office of the Auditor General.



Corrective Directives: If the report reveals accounting errors, the Auditor General may issue necessary directives to the corporate body and its auditor.

- ☑ **Mandatory Compliance:** The corporate body and auditor must comply with the directives issued by the Auditor General.
- ☑ **Progress Reporting:** The corporate body must submit progress details within the period specified by the Auditor General regarding implementation of the report's findings and the directives issued.

Thank You!



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